

25STCV12110 25STCV12110

County: los-angeles

Division: Civil Law and Motion

Department: 732

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Case Number: 25STCV12110 Hearing Date: July 6, 2026 Dept: 732

Frederick J. Rosenthal, et al. v. Jerald Joseph

Halverson, et al.

Monday, July 6, 2026

CASE NUMBER: 25STCV12110

OPPOSED

Plaintiffs Frederick

J. Rosenthal, Edith Eugena Rosenthal, and the Rosenthal 2022 Irrevocable
Trust's Motion to Tax Costs Sought by Defendant Columbus Life Insurance Company

Facts: This is an action for breach of
fiduciary duty and professional negligence. The Complaint alleges as follows.
Plaintiff Frederick J. Rosenthal (Plaintiff) retained Jerald Joesph Halverson
(Halverson) to provide financial estate strategies. (Complaint ¶¶ 18–28.)
Halverson recommended a strategy that involved the purchase of separate life
insurance policies with premiums financed by loans, not disclosing the risks
that such an arrangement could entail variable and increased interest payments
and additional tax scrutiny over and above alternative strategies. (Complaint
¶¶ 29–74.) When Halverson moved to a new firm, and Plaintiff presented his
financial plans thereto, he was advised that the plan was too risky for the
firm to oversee. (Complaint ¶¶ 75–79.) Plaintiff thereafter unraveled the

policy, incurring thousands of dollars in fees and damages, including potential tax liabilities. (Complaint ¶¶ 80–101.)

Procedural History:

Plaintiffs Frederick J. Rosenthal, Edith Eugenia Rosenthal, individually and as trustees of the Rosenthal 2022 Irrevocable Trust, filed the Complaint on April 25, 2025, alleging five causes of action:

1. Breach of Fiduciary Duty
2. Professional Negligence
3. Negligent Misrepresentation
4. Cal. Corp Code §§ 25504, 25504.1, 25235
5. Unfair Competition

Plaintiff filed a First Amended Complaint (“FAC”) on December 12, 2025, alleging the same causes of action.

On March 26, 2026, this court sustained without leave to amend the demurrers of Columbus Life Insurance Company, Lincoln National Life Insurance Company, and Life Insurance of the Southwest to the FAC, and sustained the demurrer of George Lawrence Buza, Jr. as to the fourth cause of action for securities fraud without leave to amend.

Defendant Columbus Life Insurance Company filed a costs memorandum on April 3, 2026, seeking \$2,951.92.

Plaintiffs filed the present motion to tax costs on April 21, 2026.

Defendant Columbus filed an opposition on June 22, 2026.

Analysis:

MOTION TO TAX COSTS

“Any notice of motion to strike or to tax costs must be served and filed 15 days after service of the cost memorandum. If the cost memorandum was served by mail, the period is extended as provided in Code of Civil Procedure section 1013. If the cost memorandum was served electronically, the period is extended as provided in Code of Civil Procedure section 1010.6(a)(4).” (California Rules of Court (“CRC”) Rule 3.1700, subd. (b)(1).)

“Code of Civil Procedure section 1032, subdivision (b) [], guarantees prevailing parties in civil litigation awards of the costs expended in the litigation: ‘Except as otherwise expressly provided by statute, a prevailing party is entitled as a matter of right to recover costs in any action or proceeding.’” (Williams v. Chino Valley Independent Fire Dist. (“Williams”) (2015) 61 Cal.4th 97, 100.).

“If the items on a verified cost bill appear proper charges, they are prima facie evidence that the costs, expenses and services therein listed were necessarily incurred.” (Rappenecker v. Sea-Land Service, Inc. (1979) 93 Cal.App.3d 256, 266.) Although individual cost items are ordinarily challenged by a motion to tax costs, no cost-item is effectively put in issue by “mere statements” claiming them to be unreasonable. (Ibid.) However, where “it cannot be determined from the face of the cost bill whether the items are proper,” “the mere filing of a motion to tax costs may be a ‘proper objection’ to an item.” (Nelson v. Anderson (1999) 72 Cal.App.4th 111, 131, 132.)

Plaintiffs Frederick J. Rosenthal, Edith Eugena Rosenthal, and the Rosenthal 2022 Irrevocable Trust (“Plaintiffs”) move to tax certain costs sought by Defendant Columbus Life Insurance Company (“Defendant”) following the court’s sustaining of its demurrer without leave to amend on March 26, 2026. While Defendant’s memorandum of costs seeks \$2,951.92 in costs, Plaintiff objects to \$1,899.32 in travel and other costs associated with attorney Michael Knapp’s air travel from North Carolina to attend hearing at the demurrer, along with other costs for lodging and meal expenses during the relevant time. (Motion at pp. 5–7.)

These costs are not specifically allowable by statute. When a prevailing party seeks “other” cost items not specifically awardable under Code of Civil Procedure § 1033.5, “the burden is on the party claiming the

costs to show that the charges were reasonable and necessary.” (Foothill-De Anza Community College Dist. v. Emerich (2007) 158 Cal.App.4th 11, 29.)

Defendant in opposition to the present motion makes no such showing. It argues only that travel costs are not specifically prohibited and that they have been permitted in other cases. (Opposition at pp. 4–5.) This argument has little to do with the reasonable necessity of such charges to attend a single hearing on demurrer in the present case, which involved only the argument of legal issues, and for which alternative modes of remote attendance were available. No evidence supports the necessity of these charges save the conclusory declaration of Defendant’s counsel stating that the charges were reasonable and necessary. (Knap Decl. ¶¶ 7, 10.) This is insufficient.

The motion to tax is GRANTED, and \$1,899.32 is taxed from Defendant’s memorandum of costs, leaving a total cost award of \$1,052.60.

Superior Court of California

County of Los Angeles

Department 732

FREDERICK J. ROSENTHAL, et al.,

Plaintiffs,

v.

JERALD

JOSEPH HALVERSON., et al.,

Defendants.

Case No.:

25STCV12110

Hearing Date: July 6, 2026

[TENTATIVE] RULING RE:

Plaintiffs Frederick J. Rosenthal, Edith Eugena Rosenthal, and the
Rosenthal 2022 Irrevocable Trust's Motion to Tax Costs Sought by Defendant
Columbus Life Insurance Company..

Plaintiffs Frederick J. Rosenthal, Edith Eugena Rosenthal,
and the Rosenthal 2022 Irrevocable Trust's Motion to Tax Costs Sought by
Defendant Columbus Life Insurance Company is GRANTED, and \$1,899.32 is taxed
from Defendant's memorandum of costs, leaving a total cost award of \$1,052.60.

Plaintiff to provide notice.

Dated: July 6, 2026

Hon.

Richard S. Kemalyan

Judge

of the Superior Court